Samsung Electronics

3Q headline in-line; 3Q earnings to be the floor in the next 12M; OW

Overweight

005930.KS, 005930 KS
Price (08 Oct 26):W262,000
Price Target (Jun-27):W400,000

Technology - Semiconductors

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Samsung Electronics (SEC) disclosed 3Q26 headline earnings that came in-line with the recently lowered consensus estimates (JPM preview report). We have been advocates of a higher for longer upcycle, but believe the share price action implies the market is underestimating the memory's earnings power in the 12-18M where we view 3Q26 earnings to be the floor. As we head into 3Q earnings conferences and the shares beginning to price-in 27E earnigns, we expect investors to monitor room for EPS upside (i.e. additional HBM fundamental improvement evidence), cash allocation plans (i.e. shareholder returns/M&A), and incremental signals to turn more bullish in 27/28E S/D (i.e. CPU demand upside from MUSE). We expect SEC share price to gradually appreciate in tandem with the robust earnings growth (JPMe: 35% EPS CAGR in 26-28E) and we remain constructive on the stock.

- **Broadly in-line 3Q earnings.** SEC's 3Q26 headline OP of W107.4trn was broadly in-line with the recently lowered consensus (-4% in the past 28 days per BBG) predominately due to F/X headwind and labor cost provisioning, factors that we believe were well flagged (3Q preview report). By division, we expect 3Q DRAM/NAND ASP to have trended ahead of our initial expectation of a 17%/12% increase (higher upside in NAND over DRAM) with 5%/8% B/G, driving W100trn+ DS division OP. Considering the 5% OP gap between JPMe, we believe memory margins have fared better-than-expected compared to our conservative margin assumptions (JPMe: 77%/70% OPM for DRAM/NAND in 3Q). For LSI/Foundry business, we believe topline to have improved Q/Q on expanding 4nm HBM logic-die sales, but expect earnings to have stayed in the red from Taylor fab capex burden and labor cost provision. As for the Set business, we expect DP earnings to have improved Q/Q following the key customer's flagship smartphone launch seasonality, but DX division earnings to have widened on the ongoing memory cost headwind weighing on profitability.
- **Key debate points heading into the 3Q earnings conference call.** We have been advocates of higher for longer memory upcycle and our discussions with investors imply that the majority are knowledgeable of the robust memory S-D which puts the memory earnings in a solid set-up for the next 12-18M. On the other hand, we believe the share price is continuing to price-in a bear-case scenario (report) likely anticipating a memory downcycle (either in 28E or onwards) and negligible shareholder return upside, demonstrated by <4x P/E in 27E. Heading into 3Q earnings conference calls, we expect investors to eye on: **1) Room for EPS upward revisions** (i.e. HBM fundamental improvement evidence such as 16-Hi HBM4E qualification update (link), HBM4 ASP upside in 2027E, the impact of LTA on the blended memory pricing in 27/28E, and LSI/Foundry order-win update); **2) Management's cash allocation plans** (i.e. capex, shareholder returns through buybacks/cancellations or potentially M&A); **3) Signs to turn incrementally constructive on 27/28E memory S-D outlook** (i.e. memory order visibility extended to 2030 or new demand vectors such as CPU). We believe the HBM ASP negotiations provide the most direct EPS upward revision in 27E (market expects $4+/Gb vs. JPMe: $3.1/Gb), but view shareholder return related commentaries to be further elaborated in the

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4Q26 earnings conference (Jan-27) when its 3-year shareholder return policy renews.

- **Catalysts heading into the year-end/1H27.** We believe 3Q earnings to be the floor for the next 12M but view the market as somewhat skeptical on the earnings power that will translate to shareholder returns. In light of this, we believe catalysts that could flip the current bearish sentiment are: 1) AI hardware capex guidance update from CSPs in Oct-26/Jan-27; 2) HBM TAM growth amidst de-specs and room for content growth acceleration (especially from customer HBM/ASIC customers); 3) New demand vectors for memory (i.e. impact on memory demand from MUSE that utilizes a virtual sandbox); 4) shareholder return updates; 5) role of memory amidst optical innovation in AI racks; and 6) Earnings implication from higher LTA mix in the forthcoming years.

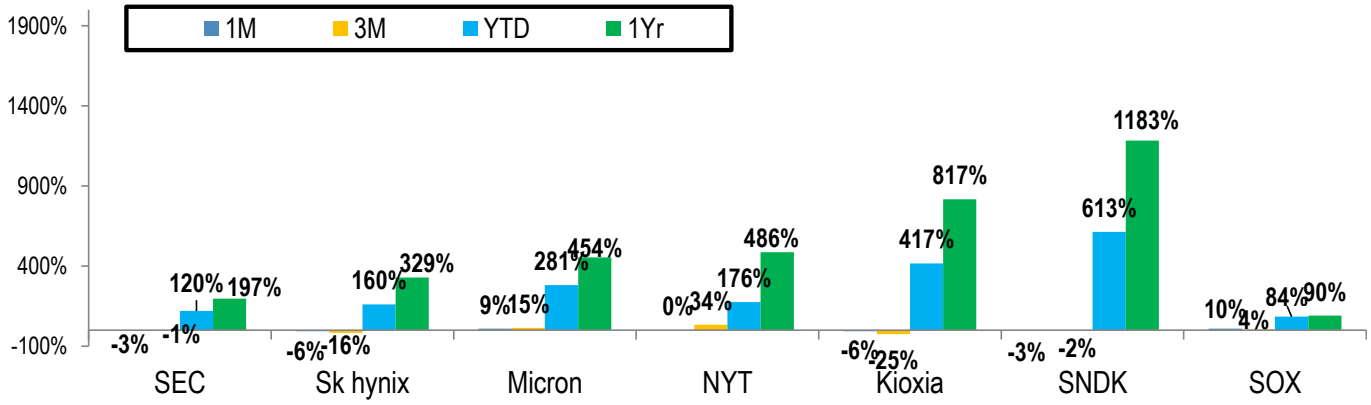
Figure 1: 3Q26 Preliminary earnings result comparison

Wbn, year-end December

	3Q26	2Q26	QoQ	3Q25	YoY	JPMe	vs. JPMe	BBG	vs. BBG
Revenue	195,000	171,499	*14%*	86,062	*127%*	195,403	*0%*	200,194	*-3%*
EBIT	107,400	89,492	*20%*	12,166	*783%*	101,814	*5%*	106,314	*1%*
EBIT margin	*55.1%*	*52.2%*		*14.1%*		*52.1%*		*53.1%*	

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Note: Bloomberg consensus as of 8 Oct 2026 (past 28 days).

Figure 2: Global memory makers' share price performance, including SOX (Philadelphia Semiconductor Index)



Source: Bloomberg Finance L.P. Note: Past performance is not an indication of future results.

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Investment Thesis, Valuation and Risks

Samsung Electronics *(Overweight; Price Target: W400,000)*

Investment Thesis
We are OW on SEC given the profit growth cycle is reaccelerating due to improving legacy fundamentals. Although our view on SEC's HBM business execution remains conservative, given the lack of evidence of its regaining its technology moat (1cnm), we believe its improving HBM qualification progress tactically bodes well for its near- to mid-term share price trajectory amid a positive industry setup. In order for SEC's shares to be fundamentally even more appealing, we believe increasing evidence of its technology leadership is required to restore investor confidence.

Valuation
Our Jun-27 PT of W400K is based on 6x F12M EPS (4Q26E-3Q27E), reflecting higher price elasticity risk (HBM/SOCAMM density optimization) amid growing LTA sales mix, which is likely to provide a floor to valuation support. Our 6x F12M EPS is at the high end of memory stocks' previous peak-cycle valuation of 4-6x FTM P/E. Durability of the earnings cycle (above 30% EPS CAGR over the next two years) is a key reason we remain OW against growing AI capex race concerns, and earlier/greater shareholder returns remain key catalysts.

Risks to Rating and Price Target
Downside risks to our rating and price target include: 1) an elongated memory price downcycle; 2) weaker-than-expected HBM demand from ASIC customers in FY25-26E; 3) delayed HBM qualification for future product generations; 4) slower-than-expected mobile unit growth; and 5) China competition.

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Samsung Electronics (005930.KS, 005930 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 09, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
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03-Apr-24	OW	85000	110,000
03-Jul-24	OW	81800	120,000
08-Sep-24	OW	68900	100,000
08-Oct-24	OW	61000	84,000
31-Oct-24	OW	59100	83,000
10-Dec-24	N	53400	60,000
03-Apr-25	OW	58800	74,000
30-Apr-25	OW	55800	68,000
02-Jul-25	OW	60200	71,000
01-Aug-25	OW	71400	84,000
25-Sep-25	OW	85400	100,000
27-Oct-25	OW	98900	135,000
30-Oct-25	OW	101700	140,000
14-Dec-25	OW	108500	160,000
16-Jan-26	OW	145000	200,000
29-Jan-26	OW	164300	240,000
22-Mar-26	OW	199800	300,000
30-Apr-26	OW	226500	350,000
17-May-26	OW	273500	480,000
30-Jul-26	OW	214000	400,000

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